Alphabet (GOOGL) | Earnings Brief

3Q26 (FY26) | 29 October 2026 | Josh, earnings desk (Trevor on transcripts)

1 Executive snapshot

Consensus thesis. Investors own Alphabet as the only hyperscaler with its own full stack (TPUs, Gemini, Cloud) and pay for Cloud growing near 90% off a $514bn backlog, with external TPU sales a second engine in 2027 that justifies about $200bn of 2026 capex and $300bn or more in 2027, funded mainly by operating cash flow and Aa2/AA+ debt.

Thesis status: Monitoring. Pillars: Cloud growth confirmed; Cloud margin and TPU scale unresolved; funding and off-balance-sheet build challenged; none broken.

Versus expectations. Quarter: miss. Revenue $127.6bn was 0.5% below LSEG ($128.2bn) and in line with Yahoo ($127.85bn); EPS excluding the $0.55 equity-mark loss was $2.67 against $3.00 to $3.02; Cloud beat ($30.7bn vs $29.16bn). Outlook: in line on capex (FY26 $195bn to $205bn unchanged, 2027 deferred to January), below on Search and Cloud margin.

Biggest changes

• Cloud beat and doubled: revenue $30.7bn (+103%), operating margin 36.2% (35.6% in 2Q26), backlog $560.8bn (+$46.9bn QoQ). TPU system sales were a 'meaningful contributor' but are not sized.
• Search slowed: Search & other $63.35bn, +12.0% against +16.8% in 2Q26 and flat QoQ; advertising $82.0bn vs $83.4bn expected (Reuters/LSEG). The stock fell about 13% to $281.95 by mid-morning on 29 October.
• Cash burn deepened: capex $51.4bn (121% of operating cash flow), FCF -$9.1bn after -$5.9bn in 2Q26, with a $10.9bn YTD TPU inventory build and a $5.2bn EC fine. The unchanged guide implies 4Q capex of $63bn to $73bn.
• Off-balance-sheet commitments jumped: leases not yet commenced $130.5bn (+53% QoQ), backstops $75.7bn ($48.0bn executed, $27.7bn to come, $10bn of it for the Blackstone JV Crux AI), energy-equipment guarantees $16.2bn (from $7.6bn), purchase commitments $924.4bn.
• Funding kept flowing: $28.7bn of notes (5.55% weighted coupon, 15-year average life on the dollar tranches) and $12.4bn of ATM stock in the quarter; long-term debt $125.1bn against $46.5bn at year-end.

Investor takeaway. The consensus view should shift from 'Cloud pays for the build' to 'Cloud is growing into a build that Search, debt and off-balance-sheet support now carry': long-term compounding holds on Cloud and TPUs, but credit quality weakens at the margin as commitments grow faster than cash generation.

What to monitor next quarter

1. January call: the 2027 capex number (Street about $300bn to $330bn), its funding mix and any FCF floor.
2. 4Q Cloud margin as third-party bridging capacity ramps (management guided to near-term headwinds).
3. Search growth after FX and lapping (management: about 2 points of lapping drag in 4Q) and ad load in AI Mode.

Pillar scorecard

Pillar	Market assumed	Quarter showed	Verdict	Source
P1 Cloud hypergrowth	Cloud about $29.2bn (+89% to 92%); backlog above $514bn	$30.7bn (+103%); backlog $560.8bn; 2,600 customers above 100bn tokens; capacity still constrained	Confirmed	Release; 10-Q; call
P2 Cloud margin holds	Mid-30s despite rented capacity; 'modest' pressure in 3Q	36.2%, but bridging capacity arrived only at quarter end; headwinds now guided for 4Q	Unresolved	Release; call
P3 TPU second engine	External TPU sales become a large 2027 line	Meaningful contributor; about 100 TPU customers; new Oracle and Crux AI channels; inventory $13.3bn; no revenue figure	Unresolved	Call; 10-Q
P4 Capex funded, earns a return	About $200bn in 2026, OCF and Aa2 debt first, no new equity	FCF -$9.1bn vs near breakeven expected; 4Q capex implied $63bn to $73bn; $28.7bn notes and $12.4bn ATM in 3Q; 2027 frame deferred	Challenged	Release; 10-Q; Reuters
P5 Off-balance-sheet manageable	Backstops and leases collateralized by usable assets	Leases not yet commenced +$45.3bn to $130.5bn; backstops $75.7bn; guarantees $22.8bn incl. $6.6bn TPU buybacks; no analyst asked	Challenged	10-Q

Key KPIs

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Revenue	$127.58bn	$119.80bn	$102.35bn	[~] +6.5% / [↑] +24.7%	Steady

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Search & other	$63.35bn	$63.27bn	$56.57bn	[~] +0.1% / [↓] +12.0%	Slowing (16.8% in 2Q)
Google Cloud revenue	$30.71bn	$24.77bn	$15.16bn	[↑] +24.0% / [↑] +102.6%	Accelerating
Cloud operating income (margin)	$11.12bn (36.2%)	$8.81bn (35.6%)	$3.59bn (23.7%)	[↑] / [↑]	Rising
Capex	$51.36bn	$44.92bn	$23.95bn	[↓] +14.3% / [↓] +114.4%	Rising
Free cash flow	-$9.07bn	-$5.86bn	$24.46bn	[↓] / [↓]	Negative 2 quarters
Cloud backlog	$560.8bn	$513.9bn	$155bn	[↑] +9.1% / [↑] 3.6x	Rising
Leases not yet commenced	$130.5bn	$85.2bn	n.a.	[↓] +53%	Rising
Data center backstops (executed / to come)	$48.0bn / $27.7bn	$43.8bn / $24.1bn	$16.9bn (YE25)	[↓] +$7.8bn total	Rising
Long-term debt	$125.10bn	$98.17bn	$46.55bn (YE25)	[↓] +27%	Rising

Guidance

Metric	Guidance	vs. prior	vs. consensus
FY26 capex	$195bn to $205bn	Maintained	Street about $202bn
FY27 capex	'Increase significantly'; detail on 4Q call	Maintained, number deferred	Street about $300bn to $330bn
Cloud margin	Near-term headwinds as third-party capacity ramps in 4Q	Pushed out (was 'modest' pressure in 3Q)	n.a.
Search growth	FX headwind and about 2 points of lapping drag in 4Q	New	Ads missed by $1.4bn (LSEG)

Top risks

• **Funding and FCF:** FCF -$9.1bn; ATM $12.4bn; 4Q capex $63bn to $73bn. More issuance in 2027; credit spreads matter for equity

• **Off-balance-sheet build:** Leases $130.5bn; backstops $75.7bn; guarantees $22.8bn. Lease-adjusted leverage rises well ahead of revenue

• **Search monetization:** +12%; ads below consensus. Cash engine for capex weakens

Analyst focus. Trevor: analysts pressed on Search slowing despite record query growth and on TPU margins and capex intensity; no one asked about FCF, debt, the ATM or the $75.7bn of backstops, so funding went unexamined in the quarter it got worse.

Monitoring and Kona

Conviction tripwires. 2027 capex above $330bn without an FCF floor; any further equity beyond the ATM; a backstop being called; Cloud margin below 30%.

Questions for owners (post-call; none of the preview's credit questions was asked)

1. **[Credit]** Backstops rose to $75.7bn: $48.0bn executed plus $27.7bn you must still put in place, $10bn for Crux AI. How many counterparties and MW does that cover, what share is with unrated neoclouds, and do your rating agencies count it as debt? Yes or no. *Why it matters: Asked? No. It is the largest debt-like item outside the balance sheet and sets how far Google's credit reaches across the sector.*

2. **[Credit]** Leases not yet commenced rose $45.3bn in one quarter to $130.5bn. How much commences in 2027, and what is lease-adjusted net leverage at year-end 2027 on your plan? *Why it matters: Asked? No. Commencements turn into finance-lease debt and fixed costs ahead of revenue.*

3. **[Credit]** You told us in July you would not return to equity markets beyond the ATM for employee tax. You sold $12.4bn in 3Q. What is the 2027 debt issuance range, and is there a leverage ceiling that would trigger more equity? *Why it matters: Asked? No. Sets the bond supply overhang and dilution risk.*

Read-across for Kona. Google's support for third-party sites is being industrialized: $75.7bn of backstops, including $10bn reserved for Crux AI, a Blackstone joint venture selling TPU compute-as-a-service, and $16.2bn of guarantees that pre-fund counterparties' power equipment. For Kona the most realistic route to Google credit is now to host TPU systems for a Crux-type venture or an approved tenant, and to ask for an equipment guarantee on gensets rather than a lease backstop alone. The new $6.6bn TPU repurchase guarantee shows that residual-value floors are negotiable; Kona should seek one if it ever owns accelerators.